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ANALYSING GROWTH, TRENDS AND OPPORTUNITIES IN INDIA'S ICE CREAM INDUSTRY



India's ice cream industry has undergone a remarkable transformation over the past few decades-from a largely seasonal and unorganised segment to a thriving market marked by innovation, intense competition and growing consumer demand. Traditionally associated with summer indulgence, ice cream has steadily evolved into a year-round treat, supported by rising incomes, urbanisation and a youthful demographic that increasingly seeks convenience and novelty in food choices.

Moreover, the industry has seen increasing penetration not only in urban centres but also in Tier-II and Tier-III cities. Companies are responding with tailored products, regional flavours, improved distribution models and digital-first marketing strategies that resonate with India's diverse consumer base. Furthermore, the country's position as the world's largest milk producer gives its domestic ice cream manufacturers a natural competitive edge. However, the industry also faces structural challenges-chief among them being cold chain logistics, high product perishability and heavy dependence on seasonal sales. Additionally, the market is witnessing growing fragmentation, with regional brands, artisanal players and health-focused startups intensifying the competitive landscape alongside long-standing national players such as Amul, Kwality Wall's and Vadilal.

In recent years, innovation has become a cornerstone of industry growth. Consumers today are drawn to new flavour profiles, health-conscious formulations (such as vegan and sugar-free options) and experiential formats such as ice cream cafés and dessert parlours. Digital platforms, too, are playing a significant role in influencing buying behaviour, enabling e-commerce delivery and helping brands create deeper engagement with consumers.

EVOLUTION OF INDIA'S ICE CREAM INDUSTRY

The story of India's ice cream industry is one of gradual transformation—from being fragmented and seasonal to becoming an increasingly formalised and innovation-driven market. Its journey not only reflects changes in consumer preferences but also the broader socio-economic evolution of India.



Pre-Independence era: Traditional roots

Long before industrialised ice cream found a foothold in India, frozen desserts such as kulfi were deeply embedded in Indian culinary culture. Prepared using condensed milk, sugar, nuts and natural flavours such as saffron or cardamom, kulfi was typically handmade and sold by street vendors, particularly in North India. These traditional frozen treats were affordable, flavour-rich and widely accessible, though highly localised and unorganised.

1950s–70s: Emergence of organised players

Post-Independence, the dairy industry gained strategic importance with the launch of Operation Flood in the 1970s, making milk more affordable and accessible. This indirectly laid the foundation for India's ice cream sector. Organised ice cream manufacturing began taking shape with the entry of brands such as Kwality, which introduced industrial processes and mass distribution in urban markets. These early players largely catered to cities and elite consumers, with limited product variety and poor cold chain infrastructure.

1980s–90s: Liberalisation and expansion

The 1980s and 1990s witnessed a modest increase in competition and distribution, but the real breakthrough came with India's economic liberalisation in 1991. The policy changes opened doors to foreign investment and increased consumer exposure to global brands. Domestic giants such as Amul and Vadilal expanded aggressively, leveraging cooperative milk networks and wide distribution to reach new markets. Technological improvements also enabled better refrigeration and storage, making ice cream more widely available and affordable.



2000s–2010s: Diversification and premiumisation

As India's middle class grew and urbanisation intensified, consumer tastes began to shift toward premium, novelty and health-conscious options. Brands such as Naturals, Havmor and Baskin Robbins introduced gourmet flavours, real fruit variants and boutique parlours. This era also saw the rise of seasonal product diversification and increased marketing sophistication, with a focus on branding, packaging and lifestyle positioning.

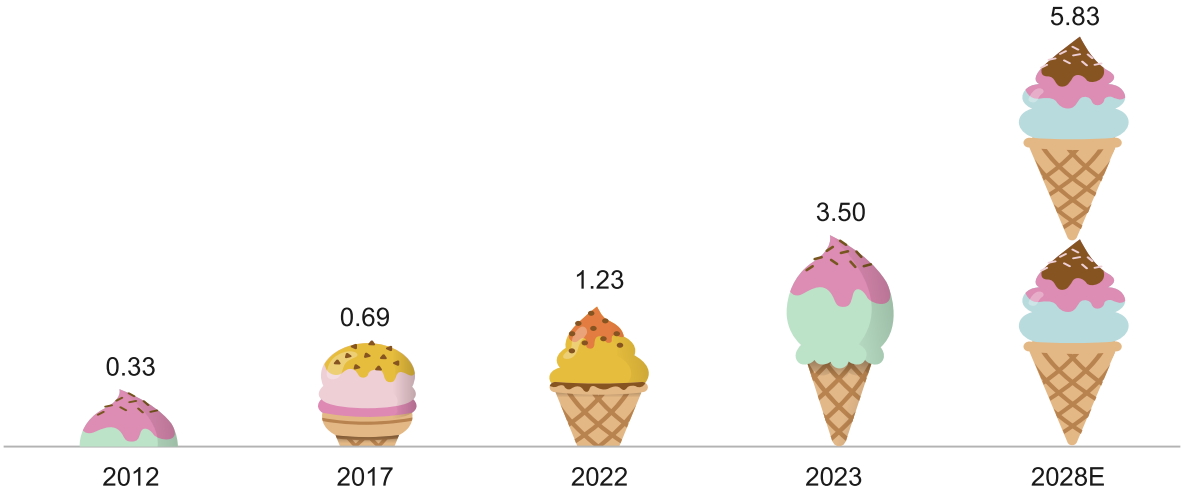
2020s Onward: Digital, artisanal, and disruptive models

In the past few years, the ice cream industry has been redefined by digital transformation and consumer segmentation. The rise of e-commerce, quick commerce platforms and direct-to-consumer (D2C) brands has enabled broader and faster access to ice cream, even in off-seasons. Additionally, artisanal and health-first brands such as NIC, Get-A-Way and White Cub are disrupting traditional business models with offerings such as vegan, protein-rich and sugar-free ice creams, catering to India's evolving wellness-oriented mindset.

TNDIA'S ICE CREAM MARKET DYNAMICS

With rising demand, new product development and an expanding customer base coming together to create a dynamic and competitive market, India's ice cream sector is at an exciting juncture.

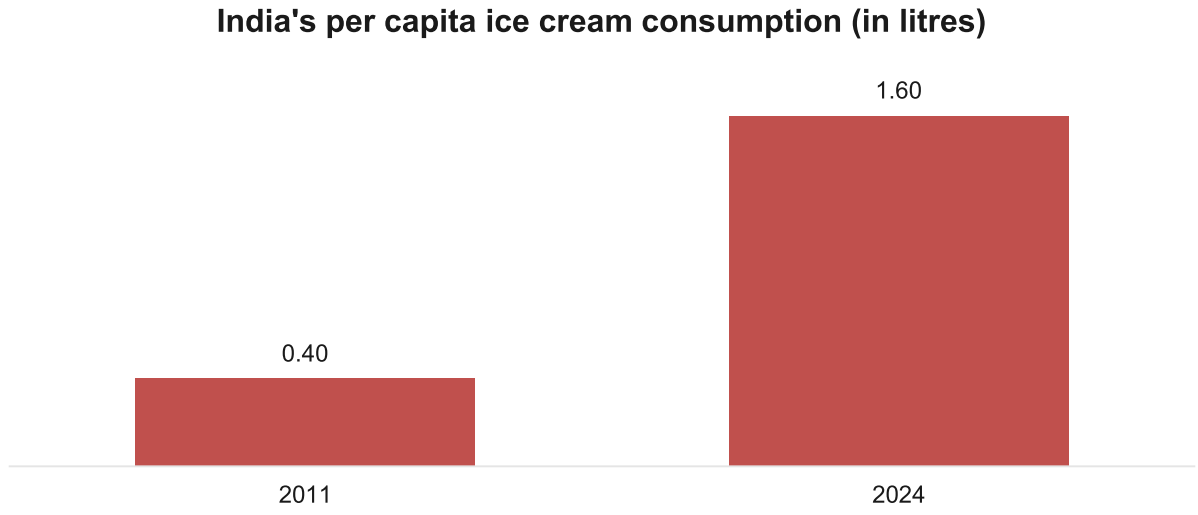
India's ice cream market size (US$ billion)



Source: Upstox, E- estimated

The country's ice cream market, estimated at Rs. 30,000 crore (US$ 3.50 billion) in 2023, is projected to grow to Rs. 50,000 crore (US$ 5.83 billion) by 2028. The industry has changed from being largely controlled by a small number of businesses and seasonal consumption to a complex ecosystem with a wide range of segments, strong regional economies and quick innovation.





Source: Hindu Business Line

India's per capita ice cream consumption has experienced a steady and promising rise over the past decade, growing from just 400 millilitres in 2011 to around 1.6 litres in 2023. Although this figure remains significantly lower than in developed markets such as New Zealand (28.4 litres) or the United States (over 20 litres), it reflects a strong upward trajectory that highlights increasing consumer demand and market penetration. This growth is primarily driven by a combination of factors—rising disposable incomes, rapid urbanisation, a burgeoning middle class and evolving food habits that embrace indulgence and convenience.

The expansion of organised retail, cold chain infrastructure and digital commerce platforms such as Zepto, Swiggy Instamart and Blinkit has made ice cream more accessible throughout the year and across a wider geographic spectrum. Additionally, the introduction of a variety of product formats—ranging from affordable impulse buys to premium artisanal tubs—has helped cater to diverse consumer preferences. The industry is also seeing rising demand from Tier-II and Tier-III cities, indicating that consumption is no longer confined to metropolitan hubs. As brands continue to innovate in flavours, formats and health-focused alternatives, India's per capita consumption is expected to rise further, unlocking vast potential in this underpenetrated market.

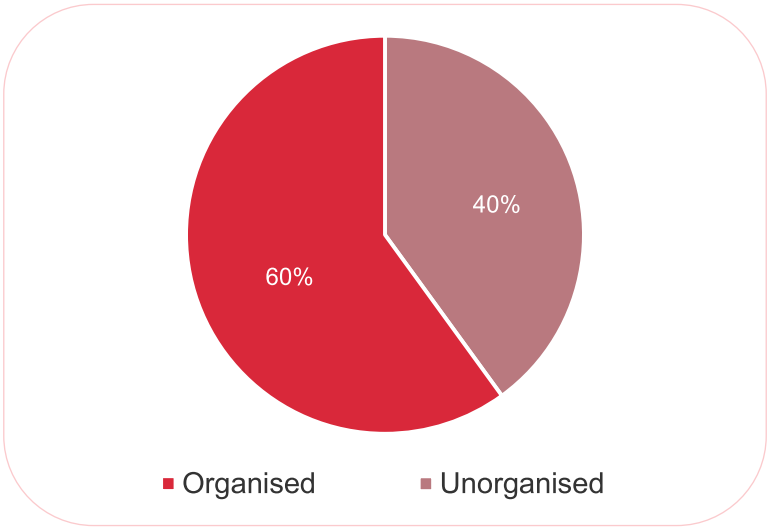


Key players: Organised vs. Unorganised

India's ice cream industry is broadly divided into organised and unorganised segments, each playing a distinct role in catering to the country's diverse consumer base. The organised segment, which includes major brands such as Amul, Kwality Wall's, Vadilal, Havmor and Baskin Robbins, accounts for nearly 60–65% of the total market and is steadily expanding. These players benefit from established cold chain logistics, widespread distribution networks, consistent quality and strong brand visibility. They offer a wide variety of flavours and formats, from economy cups to premium tubs, and are increasingly tapping into quick commerce and modern retail channels to boost accessibility.

In contrast, the unorganised segment, comprising local vendors, small-scale manufacturers and traditional frozen dessert sellers (such as kulfiwalas), holds about 35–40% of the market share. These players often operate with limited refrigeration and distribution infrastructure and primarily serve price-sensitive customers in rural and semi-urban regions. While they offer affordability and localised flavours, the lack of standardisation and hygiene controls can be a limitation.

India's ice cream market distribution



Source: News Articles

However, the gap is narrowing. With rising consumer awareness, infrastructure development and shifting preferences toward branded and hygienic products, the organised segment is rapidly gaining ground. The trend suggests a gradual consolidation of the market, with organised players poised to dominate the future of India's ice cream landscape.



TRENDS AND KEY DRIVERS SHAPING INDIA'S ICE CREAM INDUSTRY

India's ice cream industry has evolved dramatically in recent years, transforming from a seasonal market into a vibrant, year-round and increasingly premium segment. With rising consumption and a compound annual growth rate (CAGR) projected at over 13% through 2028, several structural and behavioural shifts are fuelling this growth.

1. Rising disposable incomes and aspirational spending

One of the strongest macro-level drivers is the increase in disposable incomes and the growth of India's aspirational middle class. As incomes rise across urban and semi-urban households, spending on discretionary and indulgence categories such as ice cream has increased. Consumers are now more willing to experiment with premium and niche products—whether it's a small-batch artisanal tub or a gourmet flavour variant. This trend is also evident in Tier-II and Tier-III cities, where aspirational buying is on the rise, expanding the potential customer base beyond the traditional urban strongholds.



2. Demographic dividend and evolving lifestyles

India's demographic profile further supports long-term industry growth. With over 50% of the population under the age of 30, the ice cream industry enjoys access to a large, youthful consumer base that is digitally savvy, open to experimentation and brand conscious. Young consumers are more inclined toward lifestyle-based purchases and increasingly view ice cream not just as a dessert, but as a treat, reward or mood lifter. These shifts are helping turn ice cream into an all-season product, no longer confined to summer months or special occasions.

3. Expansion of organised retail and quick commerce

The development of organised retail and quick commerce platforms has revolutionised product accessibility. Supermarkets and hypermarkets provide freezer space for diverse brands, allowing consumers to explore options beyond local vendors. Meanwhile, platforms such as Zepto, Swiggy Instamart, Blinkit and BigBasket have made it possible for



consumers to order ice cream on-demand, with minimal delivery time and proper temperature control. These services help expand consumption by tapping into impulse buying behaviour and reducing barriers to purchase.

4. Investments in cold chain and storage infrastructure

The expansion of India's cold chain infrastructure has played a critical role in enabling consistent ice cream supply across geographies. Previously, logistical challenges such as high perishability and poor refrigeration hindered market growth. Today, increasing investment in





refrigerated trucks, cold storage units and in-store freezer capacity has improved product availability and shelf life. As a result, ice cream brands can expand beyond metro cities and serve rural and semi-urban markets, which now account for a growing share of consumption.

5. Product innovation and customisation

Indian consumers increasingly seek novelty in ice cream flavour, texture and format. Ice cream manufacturers have responded with aggressive flavour innovation, offering a mix of traditional Indian favourites (such as kesar pista, paan and gulkand) and globally popular options (such as matcha, cookie dough and Belgian chocolate). Companies are also launching new formats such as ice cream sandwiches, bars, mochi-style frozen treats and kulfi-on-a-stick, enhancing consumer engagement.
Moreover, customisation is gaining popularity. Brands offer options to choose mix-ins, bases or toppings, mimicking the café or QSR (quick service restaurant) experience in an ice cream parlour format. This experiential approach is particularly appealing to Gen Z and millennial customers.

6. Rise of health-conscious and functional products

With increasing awareness of health and nutrition, a new segment of consumers now seeks "guilt-free indulgence." Startups and legacy brands are introducing low-calorie, high-protein, vegan, keto-friendly and sugar-free ice creams. Brands such as Get-A-Way, White Cub and Minus 30 are leading this charge, positioning themselves at the intersection of indulgence and wellness. These functional products cater to specific dietary preferences while maintaining taste and quality, thereby broadening the appeal of ice cream to fitness-conscious and lifestyle-oriented consumers.

7. Premiumisation and artisanal boom

There's a noticeable consumer shift toward premiumisation, driven by rising expectations of taste, quality and ethical sourcing. Urban consumers, in particular, are increasingly choosing premium, artisanal and natural ice creams over mass-market options. Brands such as Naturals, NIC, Papacream and Hokey Pokey have capitalised on this trend by offering ice creams made with real fruits, pure milk and zero preservatives. These products often command higher margins and are viewed as "better for you", clean-label alternatives.

8. Digital engagement and experiential marketing

The digital ecosystem has empowered

brands to build direct relationships with consumers. From social media campaigns and influencer collaborations to D2C websites and limited-edition flavour drops, marketing is becoming more experiential and personalised. Younger consumers in particular respond well to brands that engage them on platforms such as Instagram, YouTube and WhatsApp with visually appealing content, behind-the-scenes stories or user-generated reviews. This visibility helps in brand recall and enhances consumer loyalty.

SUPPLY CHAIN, MANUFACTURING AND DISTRIBUTION

The backbone of India's growing ice cream industry lies in its increasingly sophisticated supply chain, manufacturing capabilities and evolving distribution models. While challenges remain-particularly around logistics and temperature control-each obstacle presents an opportunity for innovation, investment and competitive differentiation.

1. Manufacturing scale and diversification

India boasts a robust network of ice cream manufacturing units, ranging from large-scale automated plants operated by giants such as Amul, Vadilal and Hindustan Unilever (Kwality Wall's) to regional and artisanal producers. The sector is increasingly embracing technology-driven manufacturing—automated filling lines, homogenisation, continuous freezing and strict hygiene protocols—to ensure consistency, scalability and safety. With demand surging not just in metros but also in Tier-II and Tier-III cities, manufacturers are expanding capacities and setting up satellite production units closer to regional markets to reduce transit time and operational costs.

This geographical decentralisation is not just a logistical win—it creates employment in smaller towns, encourages local sourcing of ingredients and boosts regional economic development.

2. Cold chain infrastructure: A catalyst for growth

One of the traditional bottlenecks in the Indian ice cream industry has been its temperature-sensitive logistics. Ice cream must be stored and transported below -18°C at every point in the supply chain, requiring high-quality freezers, cold rooms and refrigerated transport. While earlier this posed a serious challenge, it has now become a high-impact area of opportunity.

There is growing investment in cold chain infrastructure, driven by both private players and public-private partnerships. Startups and logistics firms are stepping in with tech-enabled, asset-light cold chain solutions, while established players are deploying artificial intelligence (AI)-powered route optimisation and smart temperature monitoring systems to reduce spoilage



and improve efficiency. The rise of cloud kitchens and quick commerce dark stores also provides new distribution hubs with built-in cold storage.

3. Last-mile distribution: From push to pull

Traditionally, ice cream distribution followed a push-based model, with fixed routing and dependence on deep freezers at retail outlets. Today, the rise of modern trade, D2C models and quick commerce platforms is ushering in a pull-based model, driven by real-time demand. Brands are investing in smaller, mobile freezer units, especially for impulse-driven sales at events, campuses, malls and public places.

Distribution is also being optimised through data analytics, helping brands predict peak demand periods, popular stock keeping units (SKUs) in different regions and ideal replenishment cycles. This transition toward smart, tech-enabled distribution enhances responsiveness and reduces waste.



4. Retail and alternative channels

While traditional kiranas and standalone shops remain crucial, organised retail and e-commerce are rapidly gaining importance. Supermarkets offer brand visibility and freezer space, while online retail platforms such as Amazon, BigBasket, Blinkit and Zepto help brands penetrate urban and suburban markets with ease. Furthermore, experiential retail through parlours, dessert cafés and food trucks allows brands to showcase premium offerings and enhance consumer loyalty.

This multi-channel distribution landscape allows brands to reach consumers wherever they are—online, offline, at home or on the go, creating consistent touchpoints that fuel growth.

CHALLENGES AND COMPETITIVE LANDSCAPE

India's ice cream industry, though poised for robust expansion, operates in a complex ecosystem marked by operational, regulatory and competitive pressures. However, many of these challenges are also gateways to innovation and market differentiation. The ability of players to adapt and evolve in this environment will determine long-term success.

- **High seasonality and perishability**

Despite recent trends of year-round consumption, seasonality still impacts sales, with summer accounting for a significant portion of annual revenue. Coupled with the perishable nature of ice cream, this creates inventory and cash flow challenges, particularly for smaller players.

However, this also presents a strategic opportunity. Brands that invest in season-neutral offerings, such as ice cream cakes, frozen yoghurts and health-centric variants, can stabilise demand. Additionally, bundling ice cream with

festivals, gifting or celebratory occasions can position it as a cultural and lifestyle product rather than a seasonal indulgence.

- **Distribution costs and cold chain limitations**

Maintaining cold chain logistics from factory to freezer is one of the industry's most expensive and technically demanding aspects. High energy consumption, reliance on temperature-controlled vehicles and freezer maintenance at the retail level increase operational costs and limit penetration into remote areas.

Yet, this challenge has triggered innovation. Companies are increasingly adopting solar-powered freezers, shared cold storage models and asset-light logistics partnerships to expand reach while controlling costs. Tech-enabled temperature tracking and route optimisation using AI are being explored to minimise wastage and improve reliability. These enhancements are not just risk mitigation—they are becoming key competitive advantages.

- **Regulatory environment**

The ice cream sector is governed by Food Safety and Standards Authority of India (FSSAI) norms, which mandate labelling, permissible ingredients, hygiene standards and more. Compliance can be cumbersome, especially for new entrants and artisanal brands. Additionally, the application of GST at 18% on ice cream (compared to 5% on essential dairy items) affects affordability and profitability.



However, regulatory compliance also brings consumer trust and brand credibility. Companies that align early with food safety norms can market themselves as transparent and quality-assured brands. There is also potential for industry lobbying to seek rationalisation of GST for smaller players or health-focused segments, especially as the government promotes food processing and MSMEs.

- **Price wars and brand loyalty issues**

The market remains highly price sensitive, especially in Tier-II and Tier-III cities. Intense competition among national, regional and local brands often leads to price wars, frequent discounting and margin pressures. Moreover, with so many similar offerings, building long-term brand loyalty is challenging.

This is pushing players to differentiate not just on price, but on experience, quality and story. Premiumisation, customisation and emotional storytelling are being used to strengthen brand identity. D2C models, subscription formats and loyalty programmes are also emerging to create deeper consumer relationships. For niche brands, hyperlocal sourcing, sustainability and personalisation can set them apart in a crowded market.

OPPORTUNITIES AND OUTLOOK

India's ice cream industry stands at an exciting crossroad. Having moved beyond an urban market into a symbol of lifestyle and innovation, the sector is ripe with opportunities that could



significantly reshape its trajectory over the next decade. From exploring untapped geographies to leveraging health trends and cultural soft power, ice cream brands have ample room to grow and diversify.

Unlocking the rural ice cream economy

While urban markets are saturated with national and international players, rural India remains underpenetrated despite comprising nearly 65% of the population. Lack of infrastructure, awareness and cold chain logistics have historically deterred expansion into these regions. However, with improving road connectivity, rising rural incomes and increasing aspiration levels, rural India presents a high-growth, low-competition opportunity.

Localised flavours, value-for-money SKUs (such as ice cream cups or sticks at Rs. 10 each) and energy-efficient freezers can help brands make inroads. Rural-focused marketing, especially via mobile vans and village fairs, can create lasting brand recall. Companies that invest early in these markets can secure first-mover advantage in what may become the next consumption frontier.

Health and wellness: From indulgence to guilt-free delight

The demand for health-forward ice cream options is rapidly rising, particularly among millennials, Gen Z and working professionals. Consumers are seeking products that align with dietary needs-be it low-sugar, low-calorie, high-protein, probiotic, keto-friendly or plant-based options.

This has led to the rise of specialised brands such as Get-A-Way, White Cub and Minus 30, which are carving out loyal consumer bases with functional offerings. For mainstream players, this represents a chance to diversify portfolios and enter the “better for you” category. Fortified ice creams with added

vitamins, fibre or natural sweeteners such as stevia also offer potential in both urban and semi-urban segments. With growing health awareness, this is a long-term trend rather than a short-term fad.

Exporting Indian flavours to the world

India's rich culinary heritage offers a unique export opportunity in the form of indigenous flavours such as saffron, cardamom, mango, rose, gulkand, filter coffee and kulfi-style desserts. As global consumers become more adventurous and culturally curious, there's room for Indian ice cream brands to tap into ethnic and fusion dessert categories abroad.

Target markets include the Indian diaspora across the US, UK, Canada, Middle East and Southeast Asia, as well as broader audiences via gourmet retail and restaurant partnerships. With proper shelf-life innovation, temperature-controlled exports and branding around "Made in India with Authentic Flavours," ice cream could become an unlikely soft power ambassador, much like yoga or Bollywood.

Experiential retail and tourism tie-ins

The growing trend of experiential consumption offers a fresh avenue for ice cream brands to enhance visibility and customer engagement. Boutique ice cream cafés, dessert bars, live counters and themed food trucks are increasingly popular among younger consumers and tourists seeking shareable, Instagram-worthy experiences.
Collaborations with travel hubs, malls, resorts and cultural festivals can convert ice cream into a multi-sensory indulgence. There's also potential for destination-based flavours that reflect regional heritage, tying into India's push for domestic tourism and cultural branding.

CONCLUSION

India's ice cream industry is undergoing a remarkable transformation-from a seasonal business to a dynamic, year-round, consumer-driven segment. Backed by rising per capita consumption, shifting consumer preferences, premiumisation and increasing penetration into Tier-II, Tier-III and rural markets, the sector is poised for sustained growth. With a market valued at over Rs. 30,000 crore (US$ 3.5 billion) and expected to register a CAGR of 13–15% in the coming years, the future looks not only sweet but also strategic.

Challenges such as high perishability, distribution costs, regulatory complexities and price competition persist, but they are equally catalysts for innovation. Brands investing in cold chain modernisation, health-forward product lines, hyperlocal and global flavours and experiential retail formats are gaining significant traction.
The evolving Indian consumer-health-conscious, digitally connected and experience-oriented-is reshaping how ice cream is produced, marketed and consumed. Opportunities in exports, functional foods, rural outreach and tourism tie-ins add further dimensions to this growth story.

As India heads toward becoming one of the largest ice cream-consuming nations globally, the industry stands on the cusp of its next revolution. For stakeholders who can blend tradition with innovation, and scale with sustainability, the scoop ahead is rich with possibility.

